accord that resulted in ceasefire between the Tamil guerillas and the Sri Lankan military. Dixit, who praised other policies of Rajiv, observed that his Lanka policy put Indian troops in the middle of two irreconcilable sides neither of which liked India's presence. 'It has to be acknowledged that he did not understand the physical complexities of the ethnic conflict in Sri Lanka,' Dixit wrote.[105] The Indian Peacekeeping Force (IPKF) had to be withdrawn in 1990 after it came under attack from both Tamil and Sinhalese extremists.

Rajiv had as much difficulty as his mother in balancing hard-nosed realpolitik with noble objectives of global peace and regional cooperation. For example, as he sought to improve ties with India's neighbours he also knew that India needed to protect its interests. Rajiv's policies towards Pakistan, Nepal and Sri Lanka reflected his view that while India was willing to accommodate its smaller neighbours, those neighbours also had an obligation to bear India's interests in mind. Unlike Indira, he did not voice his opposition to external powers getting involved in South Asia but he still stuck to the Indira doctrine in effect.

Representing a generation that grew up in an independent India rather than an environment of struggle against colonial rule, Rajiv was unencumbered by ideological scepticism of the West, including the United States. He started the process of repairing and rebuilding India–US relations both on the economic front as well as in foreign affairs. Rajiv's pragmatism was also reflected in his policy towards China. He was the first prime minister after Nehru to visit China, leading the first high-level delegation since the 1962 Sino-Indian war. Rajiv laid down the policy that has allowed India and China to deepen economic relations even though their border dispute remains unresolved.

Non-alignment remained one of the pillars of Rajiv's foreign policy, just as it had been for Nehru and Indira. In his 1985 address to the Council of Foreign Relations in New York Rajiv stated: '[Non-alignment] is rooted in